

Exhibit 1: Performance over 10 Years

Year	Return
1	4.5%
2	6.0%
3	1.5%
4	-2.0%
5	0.0%
6	4.5%
7	3.5%
8	2.5%
9	5.5%
10	4.0%

7. The fund's standard deviation of returns over the 10 years is *closest* to:
- A. 2.40 percent.
 - B. 2.53 percent.
 - C. 7.58 percent.
8. The target semideviation of the returns over the 10 years, if the target is 2 percent, is *closest* to:
- A. 1.42 percent.
 - B. 1.50 percent.
 - C. 2.01 percent.
9. Consider the mean monthly return and the standard deviation for three industry sectors, as shown in Exhibit 2:

Exhibit 2: Mean Monthly Return and Standard Deviations

Sector	Mean Monthly Return (%)	Standard Deviation of Return (%)
Utilities (UTIL)	2.10	1.23
Materials (MATR)	1.25	1.35
Industrials (INDU)	3.01	1.52

Based on the coefficient of variation (CV), the riskiest sector is:

- A. utilities.
- B. materials.
- C. industrials.